18

ECONOMIC SURVEYS

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CANADA

I . 2 . B . 3.

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS DECEMBER 1964

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq.km.)	9,976
Agricultural area (% of the total area)	7.1
Population of major cities (including their metropolitan areas) (1961 census):	
— Montreal	2,109,509
— Toronto	1,824,481

THE PEOPLE

Population (June 1964)	19,237,000
Number of inhabitants per sq.km.	2
Population, annual net natural increase (average 1959-63)	332,000
Net rate of annual increase per 1,000 inhabitants (average 1959-63)	18.4
Labour force, total (August 1964)	7,204,000
Labour force in agriculture (August 1964)	720,000
Immigration (annual average 1959-63)	90,092

PRODUCTION

GNP in 1963 (millions of Canadian dollars)	43,007
GNP per head (Canadian dollars)	2,276
Capital investment (private and public) per head (Canadian dollars)	484
Capital investment (private and public) as % of GNP	21.7
Origin of Gross Domestic Product:	
— Agriculture, forestry and fishing	8 %
— Mining and quarrying	4 %
— Manufacturing	26 %
— Construction	5 %
— Services	57 %

THE GOVERNMENT

General government current expenditure on goods and services (average 1959-63, % of GNP)	19
Federal Government current revenue (average 1959-63, % of GNP)	17
Federal direct and guaranteed debt, % of current expenditure (average 1960-63, %)	26.6

Composition of Parliament:

	House of Commons	*Senate*
Liberals	48 %	60 %
Conservatives	36 %	33 %
Social Credit Rally	5 %	
Social Credit	3 %	
New Domocrats	6 %	
Independents		3 %
Vacant	1 %	4 %

Last election: April 1963

LIVING STANDARDS

Food consumption, calories per head per day, 1961-62	3,100
Number of passenger cars in use per 1,000 inhabitants (1962)	266
Number of telephones per 1,000 inhabitants (1961)	326
Weekly earnings (industrial average, Canadian dollars, 1963)	83.4

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP (average 1959-63)	20
Main exports 1963 (% of commodity exports):	
— Wheat	12
— Newsprint	11
— Lumber and timber	6
— Woodpulp	6
— Aluminium	4
Main customers 1963 (% of commodity exports):	
— United States	56
— United Kingdom	15
— Other OECD	14
Imports:	
Imports of goods and services as % of GNP (average 1959-63)	23
Main imports 1963 (% of commodity imports):	
— Machinery	15
— Motor cars	9
— Petroleum	7
— Electrical apparatus	5
Main suppliers 1963 (% of commodity imports):	
— United States	68
— United Kingdom	8
— European Economic Community	5

THE CURRENCY

Monetary unit: Canadian dollar.

Currency units per U.S. dollar (fixed rate introduced May 1962)	1,081

ECONOMIC SURVEYS BY THE OECD

CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
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INTRODUCTION

In recent years strong expansion with a decline in unemployment, and a progressive reduction of the current external deficit, have been prominent objectives of economic policy. Over the last twelve months activity has expanded fast and further progress has been made towards reducing unemployment. But although faster growth has been accompanied by a sharp increase of exports, the trend of recent years towards a reduction of the current external deficit has been reversed, because imports have been buoyant and the deficit on non-merchandise transactions has continued to rise. The deficit has been financed by an inflow of capital. The official holdings of gold and foreign exchange reserves have risen somewhat and outstanding borrowings from the International Monetary Fund have been repaid.

Part I of this survey reviews the domestic situation and Part II the balance of payments. Part III discusses the policy measures taken over the last couple of years.

I. THE DOMESTIC SITUATION

As in the United States, the current expansion has now lasted for nearly four years, longer than any earlier postwar expansion. Since the middle of 1963, following relatively slow growth in the preceding twelve-months period, the pace of advance has accelerated, with a particularly strong upturn in the first months of 1964. The acceleration was strongly related to the faster expansion in the United States, and the large wheat sales to Eastern countries also played a role. But it can also be ascribed to policy measures taken by the Canadian authorities and outlined in Part III. The

TABLE 1. CHANGES IN GROSS NATIONAL EXPENDITURE[1]

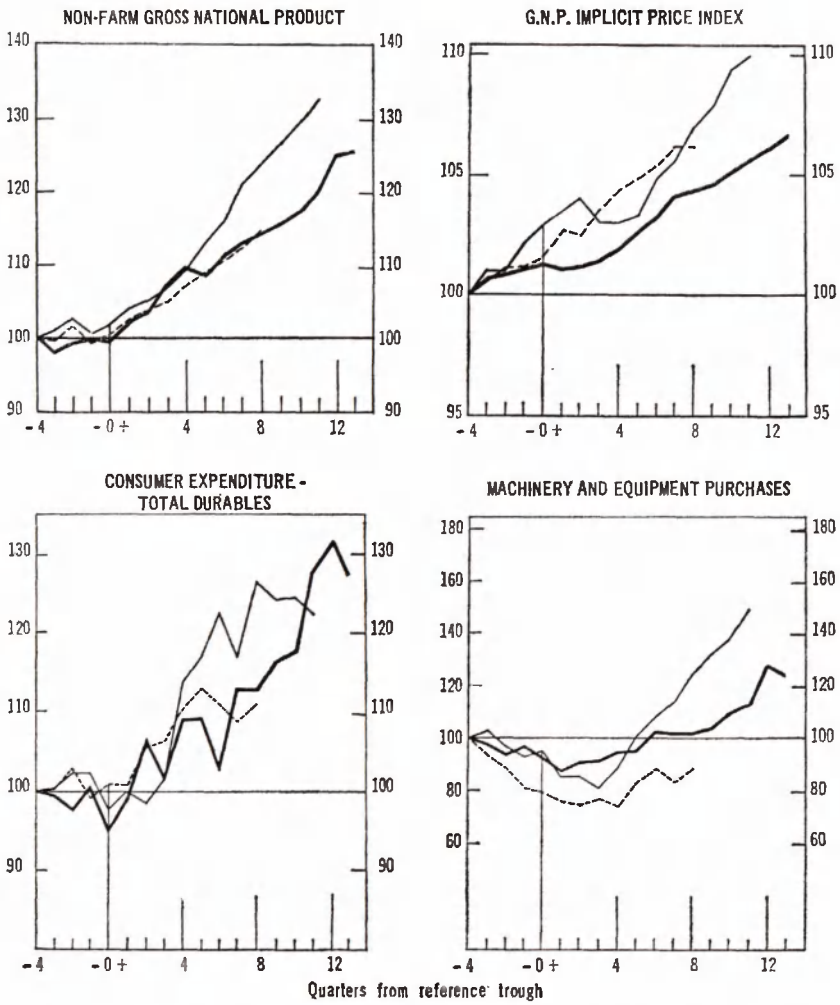
Per cent.

	2nd QTR. 1962 TO 2nd QTR. 1963	2nd QTR. 1963 TO 2nd QTR. 1964
1. Personal Expenditure	5.3	6.9
— Non-durables	3.8	6.1
— Durables	8.8	7.2
— Services	6.1	7.7
2. Government Expenditure on Goods and Services	2.3	5.3
— Federal	− 7.8	2.9
— Provincial and Municipal	9.1	6.7
3. Gross Fixed Capital Formation	7.9	12.6
— Residential	6.1	4.5
— Non-Residential	8.3	7.5
— Machinery and Equipment	8.5	22.4
4. Exports of Goods and Services	8.9	18.0
5. Total Final Demand (1 + 2 + 3 + 4)	5.8	9.4
6. " Shift "[2] in Non-Farm Business Inventories	−$344 m.	$660 m.
7. Imports of Goods and Services	0.8	17.1
8. GNP (value)[3]	6.5	8.3
9. GNP (volume)	4.5	6.1

1. Based on seasonally adjusted figures in current prices unless otherwise stated.
2. The term " shift " is used instead of " change ", to denote that the figures in this line are calculated from figures which themselves represent the change in inventories during a period.
3. Between 1962 and 1963 the value of crop production in Canada reached an all time record, rising by $ 200 million, or the equivalent of ½ of 1 per cent of GNP. Between 1963 and 1964, crop production is expected to decline to more normal levels, perhaps in the order of $ 250 million, and allowance has been made for this expectation in the year to year comparison.

Source: Canadian Submission to OECD.

Diagram 1. SELECTED ECONOMIC INDICATORS
PREVIOUS BUSINESS CYCLE PEAK = 100
Seasonally Adjusted



Source: Budget Papers Economic Review and Dominion Bureau of Statistics.

expansion slowed down in the second quarter of 1964, but a stronger advance can be expected in the second half of the year. For the year 1964 as a whole, GNP is likely to have been about 8 per cent higher in value and

6 per cent in volume than in 1963. As in the United States, the expansion should continue well into 1965, but some slowing-down may well occur unless fresh measures to stimulate activity are taken.

Demand

Exports of goods and services have been an important dynamic element, rising by 18 per cent between the second quarters of 1963 and 1964. There has been a particularly strong increase in merchandise exports (23 per cent), partly because of large wheat sales; even excluding wheat and flour the rise was 17 per cent. But imports have also risen fast so that the balance of goods and services considered as a whole has not been an expansionary element over the last twelve months.

A major characteristic of recent trends in demand has been the sharp increase in fixed investment expenditure. The annual survey of investment intentions published in the spring pointed to an increase of some 8 per cent in total investment, public and private, for 1964 compared with 1963. The mid-year review of investment intentions — based upon data collected in May and June — revised this estimate to 16 per cent. At that time it was estimated that actual outlays during the first half year had been running close to the figure for the year as a whole and that there might be some slowing down during the rest of the year. Fixed investment should rise further in 1965, but the increase may well be more moderate than in 1964.

Business plans for fixed investment expenditure, according to the mid-year survey, showed a probable rise by 18 per cent in 1964 in current dollars. This would correspond to a rise of about 13 per cent in volume and would be the sharpest annual increase since 1956. But the structure of investment is somewhat different from that of the previous boom period; over 40 per cent of the increase in business investment in 1964 was planned to take place in manufacturing industries compared with less than one-third in 1955-56. This is a reflection of the fact that Canadian manufacturing industry since

TABLE 2. PRIVATE AND PUBLIC INVESTMENT 1962-63 AND 1963-64

Per cent.

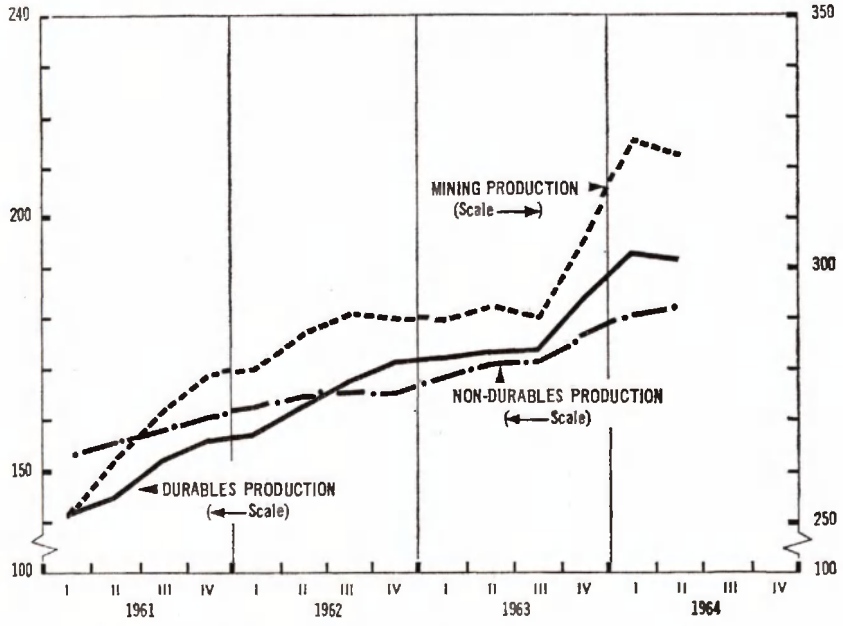
	CHANGE 1962 TO 1963		CHANGE 1963 TO 1964 (PRELIM. SURVEY)		CHANGE 1963 TO 1964 (MID-YEAR SURVEY)	
Business Gross Fixed Capital Formation, total	7.7		9.1		18.8	
— Housing	8.1		11.4		17.7	
— Non-residential construction	6.6	7.6	9.3	8.5	21.3	19.1
— Machinery and equipment	8.5		7.7		17.1	
Direct Government Outlays	3.1		4.8		5.0	
Total Private and Public Investment	6.9		8.3		16.1	

1961 has been increasing its output, for the home market and for exports, more rapidly than during the 1950's. The investment boom up to 1957 was concentrated much more than at present in the basic resource sectors of the economy. There are indications that there will be a further substantial rise in business investment in 1965, but perhaps not as great as in 1964.

Investment in housing expanded at a record rate during the 1963-64 winter months because of certain special incentives offered by the government (c.f. page 22). The winter incentive programme led to an exceptionally large number of starts, which rose by 65 per cent in December and January (after seasonal adjustment) compared with the previous two months. The results of this programme are difficult to evaluate as yet; in part what has occurred is a shifting of the seasonal pattern of work in the construction industry, but the general level of activity appears to have risen also. The number of completions in 1964 is likely to turn out some 15 to 20 per cent greater than in 1963. The renewal of the winter housebuilding incentive programme seems to be leading to a fresh spurt in residential construction, but for 1965 as a whole, it may be that the rise will be less than in the previous year.

Private consumption in the second quarter of 1964 was 7 per cent higher than a year earlier; in real terms the increase was somewhat smaller.

Diagram. 2. TRENDS IN INDUSTRIAL PRODUCTION, 1961-64
SEASONALLY ADJUSTED INDICES, 1949 = 100



Source: Dominion Bureau of Statistics.

With higher hourly earnings and employment, labour income has increased by 8 per cent over the last twelve months. Farm cash incomes have risen sharply because of a record volume of farm marketings and unusually large final payments to farmers by the Canadian Wheat Board on account of the closing of the 1962-1963 Pool Account. In line with the movement of economic activity, there was a particularly sharp increase in consumer expenditure on a seasonally adjusted basis in the winter months, followed by a slower increase in the spring. With a further increase in activity and personal incomes in the months ahead, private consumption should continue to expand.

Public expenditure on goods and services rose by 5 per cent between the second quarters of 1963 and 1964, compared with an increase of only 2 per cent over the preceding twelve months. The acceleration mainly reflected the fact that federal outlays were cut back in the 1962-1963 period, following the imposition of the emergency programme during the exchange crisis in 1962; over the last twelve months they have been rising again. At the provincial and municipal levels, expenditure has been rising steadily. Public expenditure should continue to rise in the months ahead. The federal budget for 1964-1965 points to a 6.4 per cent increase in expenditure on goods and services.

The expansion of activity over the last year has been accompanied by a moderate build-up of non-farm business inventories, following some previous liquidation.

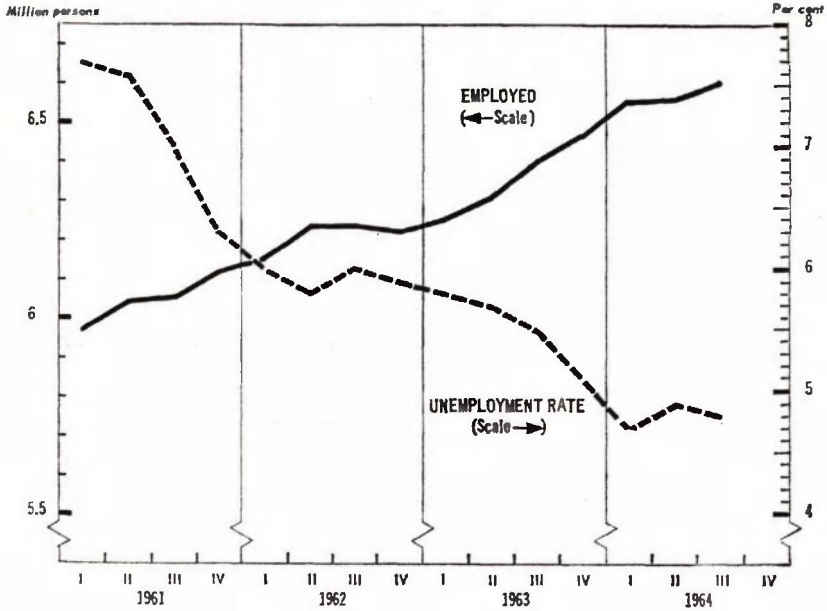
Output and Employment

In the second quarter the gross national product was more than 8 per cent higher than a year earlier; in real terms the increase was 6 per cent. On a seasonally adjusted basis there was a particularly strong advance in the fourth and first quarters, related partly to the winter work programme. The rise in industrial production has shown a similar pattern. Manufacturing output, as distinct from the production of the basic resource sectors, has risen faster during the current expansion than in earlier upturns in activity, with some further decline in the margin of unused capacity; the mid-1964 investment survey showed that a wide range of manufacturing industries were stepping up their investment to increase capacity. In the steel industry, order books are very full and delivery dates have lengthened notably; but this is a rather extreme case. The main basic resource sectors have also expanded their production, notably the iron ore, non-ferrous metals, pulp and paper and petroleum and natural gas industries.

The wheat crop in 1964 is provisionally estimated to have been 600 millions bushels. This is above average, but substantially below the record level of 723 million bushels in 1963. As a result of the 1963 crop, and strong

Diagram 3. EMPLOYMENT AND UNEMPLOYMENT

SEASONALLY ADJUSTED



Source: Dominion Bureau of Statistics.

demand on world markets, particularly the U.S.S.R., Canada was able to export a greatly increased volume of wheat during the 1963-64 crop year. Estimated availabilities for the 1964-65 crop year are put at 1,060 million bushels, compared with 1,211 million in the previous year. The supply situation is more than adequate to meet all likely calls for exports for the time being.

In the third quarter of 1964 the labour force was more than 2 ½ per cent above that of a year earlier. In the latter part of 1963 and in early 1964 there was a particularly large increase in participation rates associated with stronger demand for labour. In addition there has been an increase in the population reaching working age, and a higher level of net immigration. The rate of growth of the labour force is likely to remain high in the next few years, about 2 ¾ per cent per annum. Nevertheless, the number of unemployed has been considerably reduced over the last year, from an average rate of 5.5 per cent in 1963 to one of 4.8 per cent in the first ten months of 1964, the lowest level reached since August, 1957.

There are very substantial differences between unemployment rates in different parts of the country. In the Prairie provinces unemployment in September of 1964 was only 1.6 per cent (unadjusted rate); it was 2.2 per cent in Ontario, 5.4 per cent in the Atlantic provinces, 4.3 in Quebec and

TABLE 3. EMPLOYMENT AND UNEMPLOYMENT

SEASONALLY ADJUSTED

Thousands.

	CHANGE IN PERIOD, AT ANNUAL RATES			
	1st QTR. 1961 TO 4th QTR. 1961	4th QTR. 1961 TO 4th QTR. 1962	4th QTR. 1962 TO 4th QTR. 1963	4th QTR. 1963 TO 3rd QTR. 1964
Employed	201	105	247	137
Unemployed	− 123	− 17	− 46	− 21
	1961	1962	1963	1964[1]
Unemployed as % of labour force	7.2	6.0	5.5	4.8

1. January-October, monthly average.
Source: DBS Statistical Review.

3.9 per cent in British Columbia. Thus, though there is still room for a general decline in unemployment, the structural aspects of the problem are likely to take on increasing importance. Unemployment in Canada tends to be exacerbated by climatic conditions and by the great distances which hamper labour mobility. Moreover, in areas such as the Atlantic provinces, the decline of traditional activities like coal-mining has reduced employment opportunities.

Prices and Wages

Prices have remained very stable during 1964. Wholesale prices in October 1964 were fractionally lower than a year earlier. As of October, consumer prices were 1½ per cent higher than a year earlier, the rise being attributable in roughly equal proportions to slightly higher food prices and to some increase in non-food prices. The implicit GNP deflator has been edging upwards at an annual rate of about 2 per cent.

The stability of prices reflects a parallel movement of unit labour costs. In manufacturing industries, wage costs per unit of output have changed little (or fallen slightly) between the first halves of 1963 and 1964, following a moderate increase in 1963. Hourly earnings have increased by 3.6 per cent over the last twelve months, but available estimates suggest that output per man hour has risen about as fast.

II. BALANCE OF PAYMENTS

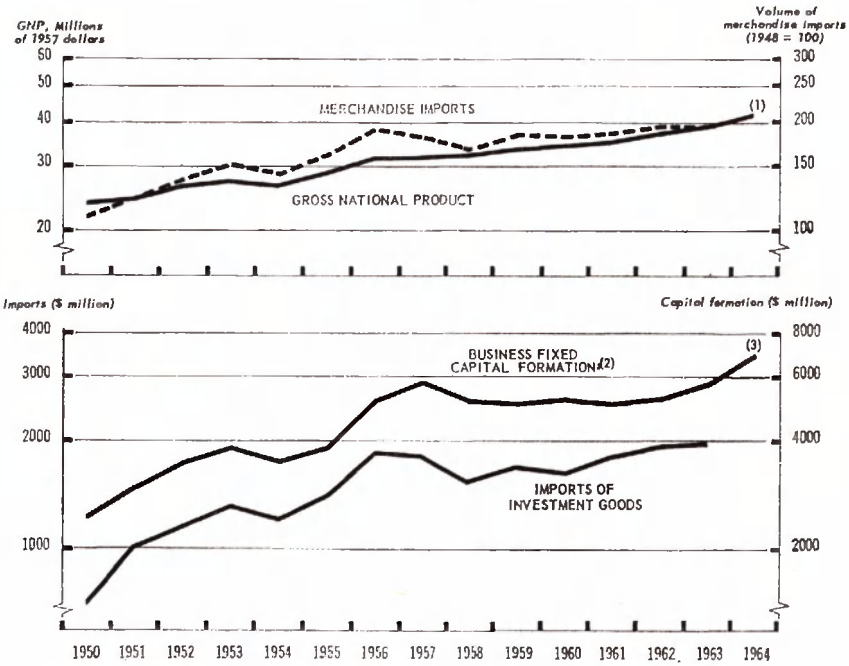
The current account deficit fell steadily from a peak of $ 1.5 billion in 1959 to about $ 0.5 billion in 1963. The devaluation of the Canadian dollar in 1962 and the subsequent maintenance of price stability were two of the most important factors contributing to this decline. The trend was, however, reversed in 1964; in the first half of that year the deficit rose to $ 0.6 billion (seasonally adjusted annual rate) and it may well have continued at about the same level in the second half of the year. However, as capital receipts were buoyant, Canada was able to repay the final instalment of the U.S. $ 300 million drawn from the IMF in June, 1962.

The Current Account

The trade surplus in the first half of 1964 was not much higher than a year earlier despite exceptionally large wheat sales to the Soviet Union and other Eastern European countries. Some non-agricultural exports rose sharply — notably iron ore, wood, pulp, paper and aircraft and a number of other manufactured items. Shipments of wheat and flour under the large contract with the Soviet Union were completed on July 31st, and shipments to other Eastern countries were high in August and September, so the third quarter trade balance still benefited from substantial deliveries of wheat. As exports in the fourth quarter were no longer benefiting from these exceptional sales of wheat, it is likely that there was a decline in the seasonally adjusted value of total exports. There has been a sharp rise in imports, closely associated with the strong expansion of home demand but also influenced by the fact that in the spring of 1963 the last of the temporary surcharges imposed in 1962 were removed. Imports appear to have changed little in the third quarter, but a fresh increase is likely to have occurred in the closing months of the year, prompted in part by some anticipation of the final stage of the increase in the sales tax on investment goods which became effective on 1st January, 1965. During 1965, in the absence of a repetition of exceptional factors such as the 1964 wheat sales, exports will rise due to the continued expansion of sales of non-agricultural products but probably by less than last year. Although the increase in imports in 1965 may also be less than in 1964, the trade balance in 1965 may be somewhat less favourable.

Diagram 4. IMPORTS, GNP AND FIXED CAPITAL FORMATION

RATIO SCALES



1. Increase January-June at annual rate.
2. Public and private.
3. Estimate based on the mid-year investment survey.

Source: Dominion Bureau of Statistics, Bank of Canada.

Non-merchandise current transactions represent a large net debit item (over $ 1 billion a year) of which about two-thirds arise out of transactions with the United States. During the first half of 1964, this deficit rose by $ 160 million, at an annual rate (not seasonally adjusted) or by more than sufficient to cancel out the improvement in the trade balance. The most important items in the invisible current account are payments of interest and dividends, travel expenditure and miscellaneous business outlays.

Interest and dividend payments are largely concentrated on the United States. The majority of foreign-owned enterprises in Canada, or firms with foreign participation, represent American capital; and long-term borrowing is undertaken chiefly in the United States. During the first half of 1964, net payments of interest and dividends were running at an annual rate of $ 660 million (not seasonally adjusted), compared with $ 600 million a year earlier. The dividend component in this item tends to fluctuate in sympathy with the business cycle; since profits and business activity have

risen substantially from 1963, it is likely that net dividend payments abroad by Canada will continue to rise. Payments in respect of fixed interest securities are also likely to rise further in view of continued recourse by Canadian corporations and government units at the provincial and municipal level to borrowing in the United States.

For a short time in the latter part of 1962, following the devaluation of the Canadian dollar and the reduction in the tourist exemption, the net deficit on foreign travel declined sharply. But in 1964 it began to increase again, by more than $ 100 million at an annual rate during the first half year compared with the corresponding period in 1963. Thus, despite considerable natural resources for the tourist industry, Canada is not a net earner of foreign currency on this account.

As the merchandise trade balance surplus does not appear likely to be as high in 1965 as in 1964, and payments abroad of interest and dividends are not likely to be lower, whilst the tourist account has now returned to a deficit, the current balance of payments deficit may well be somewhat larger than the deficit of $ 500-$ 600 million which has been estimated for 1964.

The Capital Account

Canada has traditionally been a large net importer of capital, except during periods such as the last war and the immediate post war period when conditions abroad were exceptional. But the Canadian authorities take the view that it would be appropriate for Canada, under conditions of underutilized capacity, to work towards a balanced current account, to be matched by a reduction in net capital imports. Since the trend towards a smaller current account deficit has been reversed in 1964, through a large increase in the deficit with the United States, Canada's requirements for capital from abroad have risen. These requirements have been satisfied mainly by the United States.

Funds for direct investment were the major source of foreign capital during the resource boom in the mid-1950's. Subsequently it fell off, though continued direct investment in such areas as manufacturing, real estate, iron ore and petroleum kept net receipts at around $ 500 million a year. In 1963, net receipts of direct investment funds totalled $ 130 million. Since 1963, demand prospects on world markets of some basic resource sectors have improved, some of the over-capacity inherited from the previous boom has been worked off, and new important mineral strikes have been made. At the same time, investment in manufacturing appears to remain financially attractive to U.S. firms. However, in the first half of 1964, there was no increase in direct investment.

TABLE 4. BALANCE

	1959	1960
Exports (f.o.b.)	5,150	5,392
Imports (f.o.b.)	5,572	5,540
Trade balance	− 422	− 148
Interest and dividends	− 489	− 480
Travel	− 207	− 207
Other invisible items	− 386	− 408
Current account	− 1,504	− 1,243
Current account (seasonally adjusted)	− 1,504	− 1,243
Direct investment	470	600
New portfolio issues (net of retirements)	449	182
Other portfolio investment	168	35
Other long-term capital	61	83
Short-term capital and errors and omissions	345	304
Overall balance	− 11	− 39
Equals change in official reserves and IMF position (+ = increase).		

Source: Dominion Bureau of Statistics.

In recent years a number of proposals have been made by the Canadian government for increasing the share of Canadian capital and control in industry. In June 1963, a proposal to levy a tax on sales of large blocks of shares to non-residents was presented but withdrawn. At the same time the standard 15 per cent rate of the withholding tax on dividends paid to non-resident shareholders in companies where one quarter or more of the voting share capital is in Canadian hands was reduced to 10 per cent and was to have been increased to 20 per cent in 1965 for non-resident owned companies that did not meet these qualifications. Following the tax cut in the United States, in the spring of 1964, the decision to raise the withholding tax to 20 per cent in the cases referred to above was dropped and the standard rate of 15 per cent retained. The withholding tax on bonds has been eliminated for sales to tax-exempt non-resident purchasers. A measure to limit to 25 per cent the share of non-residents in voting stock in some Canadian financial institutions is at present under discussion by Parliament. The measure does not affect present holdings. If investment is to be maintained at its present level, tax and other measures to increase the share of Canadian ownership in industry will of course have to be related to a higher level of savings in Canada.

Large international transactions in portfolio capital are a long-standing feature of the Canadian balance of payments. The main components are new issues of stocks and bonds, retirements of outstanding securities, and transactions in outstanding securities, both Canadian and foreign. It

$ million, annual totals and quarterly rates.

1961	1962	1963				1964	
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.
5,889	6,380	1,486	1,776	1,806	2,014	1,730	2,197
5,716	6,203	1,412	1,702	1,655	1,810	1,697	2,048
173	177	74	74	151	204	33	149
− 561	− 592	− 158	− 144	− 142	− 202	− 173	− 155
− 160	− 43	− 67	− 26	118	− 5	− 96	− 49
− 434	− 416	− 97	− 108	− 111	− 118	− 107	− 101
− 982	− 874	− 248	− 204	16	− 121	− 343	− 156
− 982	− 874	− 135	− 103	− 193	− 126	− 223	− 60
445	386	45	13	39	33	20	20
238	408	356	221	60	− 4	43	181
66	− 117	− 29	7	− 37	− 48	− 45	− 29
160	− 9	3	− 32	− 29	15	− 48	− 49
362	361	− 61	106	− 108	153	331	100
290	155	66	111	− 59	28	− 42	67

should be recalled, in this connection, that there is no exchange control of any kind in Canada on capital transactions with abroad.

New issues of Canadian securities, practically all of them being fixed interest bonds sold in the United States, have fluctuated widely in recent years, between a low level of under $ 450 million in the recession year of 1960 during the period of exchange rate adjustment, to nearly $ 1 billion in 1963. The issues are made primarily by provincial and municipal governments and by corporations, although following the exchange crisis of 1962 the Government of Canada itself borrowed on the U.S. market for delivery in 1962 and 1963. Local units of government have developed their own channels for borrowing in the United States; often the bonds are taken up directly by financial institutions and do not take the form of a market placing.

Access to the U.S. market is of vital importance for these Canadian portfolio borrowers. And, of course, such borrowings, together with current surpluses with third countries, represent a major source of funds for financing the balance of payments deficit on current account with the United States. After the announcement in July, 1963 of the proposed U.S. Interest Equalization Tax, Canadian representatives explained to U.S. authorities that ample flows of new security issues to meet these needs could be sustained only by a very substantial and undesirable rise in the entire Canadian interest rate structure. They indicated that it would not be the

TABLE 5. PORTFOLIO

	1959	1960
Total	617	217
New issues of Canadian securities	707	447
Retirements	– 258	– 265
Trade in outstanding Canadian securities	201	54
Foreign securities	– 33	– 19

Source: Dominion Bureau of Statistics.

desire or intention of Canada to increase her foreign exchange reserves through the proceeds of borrowing in the United States. The U.S. authorities then sought and obtained provision in the legislation (which became law in September, 1964), authorizing the President by executive order to exclude from the tax certain acquisitions of new stock or debt obligations in any country if he, " determines that the application of the tax will have such consequences for a foreign country as to imperil or threaten to imperil the stability of the international monetary system ". An executive order exempting new Canadian security issues was promulgated on September 4th, 1964.

The volume of funds raised by Canadians in New York fell off sharply in the second half of 1963. This was to a large extent due to an exceptional bunching of new issues in the first half of 1963. But uncertainty as to the eventual outcome of the examination of the draft IET bill by the U.S. Congress also had a significant impact; the inflow of portfolio capital after

TABLE 6. NEW ISSUES OF CANADIAN BONDS SOLD TO U.S. RESIDENTS

$ *million.*

	CONTRACTS	DELIVERED	UN-DELIVERED[1]
1962	952	677	328
1963 1st Qtr.	525	394	459
2nd Qtr.	117	368	208
3rd Qtr.	16	92	132
4th Qtr.	42	51	123
1964 1st Qtr.	111	145	89
2nd Qtr.	190	246	33

1. End of period.
Source: Dominion Bureau of Statistics.

CAPITAL

$ million, annual and quarterly totals.

1961	1962	1963				1964	
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.
304	291	327	228	23	− 52	− 2	152
538	728	408	394	100	66	146	270
− 300	− 320	− 52	− 173	− 40	− 70	− 103	− 89
100	− 52	− 33	− 17	− 34	− 46	− 40	7
− 31	− 65	4	24	− 3	− 2	− 5	− 36

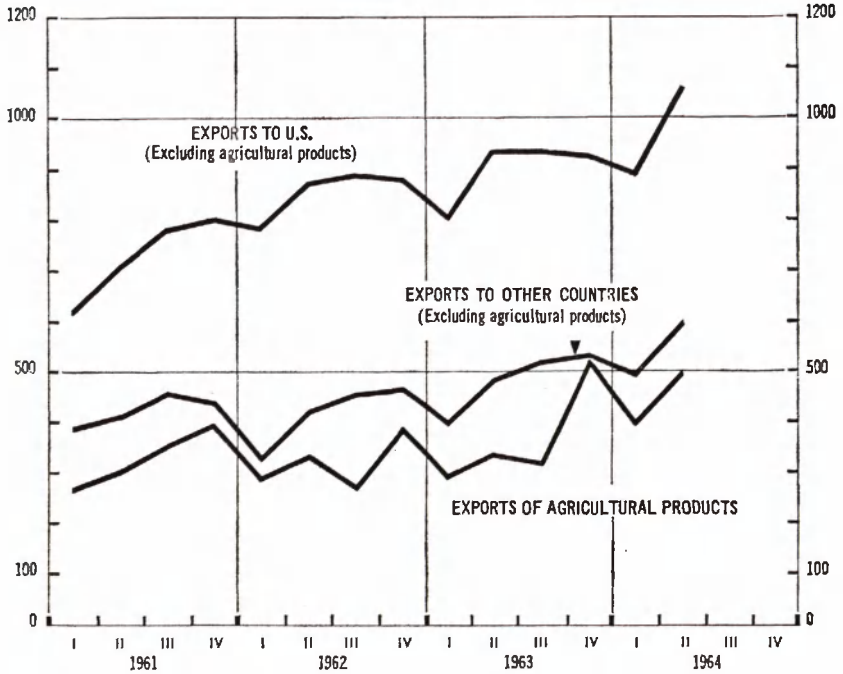
July consisted almost exclusively of new issues contracted earlier. In the spring of 1964, although the IET bill was still before Congress, the amount of new issues rose again; however, nearly one-third of the inflow consisted of deferred deliveries of issues negociated early in 1963. For some time following the enactment of the IET bill in September 1964, receipts of portfolio capital from new placements were heavy, but recent indications are that new contracts entered into have been declining.

As Canada's outstanding portfolio debt is very large — some $ 10 billion — there is a continuing need to refund old debt. The annual volume of retirements of outstanding portfolio debt is about $ 300 million, and this represents a deduction from the gross inflow of funds from new issues. There is also a considerable two-way traffic between Canada and abroad, in outstanding securities. From 1956 to 1962, such transactions left a positive balance in favour of Canada; but in 1962 and 1963, there were net deficits of $ 120 and $ 88 million. In the first and second quarters of 1964 there continued to be a net outflow from transactions in outstanding Canadian and foreign securities; but in the second quarter, trade in outstanding Canadian securities alone resulted in an inflow of $ 7 million, which may indicate that net sales of Canadian securities, by U.S. investors in particular, had ceased.

A very large inter-governmental capital transaction took place in September 1964 between the U.S. and Canadian governments for the joint financing of the Columbia River hydro-electric project in British Columbia. The total payment amounted to $ 254 million (U.S.). The Government of Canada held $ 204 million (U.S.) and paid the province of British Columbia the Canadian dollar equivalent. The remaining $ 50 million (U.S.) were used by British Columbia to retire debt in the United States. As the funds will only be used progressively, the $ 204 million (U.S.) were reinvested by the Canadian government in special non-marketable U.S. government securities. Thus they do not figure in the Canadian official reserves, although Canada would probably be able to use the funds if they were needed for

Diagram 5. MERCHANDISE EXPORTS

MILLIONS OF DOLLARS NOT SEASONALLY ADJUSTED



Source: Bank of Canada.

general balance of payments support. The province of British Columbia has arranged to lend to the province of Quebec $ 100 million of the Canadian dollar equivalent of the funds received from the United States.

Large, diversified, two-way flows of short-term funds, particularly with the United States, are a permanent feature of the Canadian balance of payments. Short-term funds — which in the Canadian balance of payments include errors and omissions — were the principal means of financing the current account deficit in the last quarter of 1963 and the first quarter of 1964. In the second quarter, when net portfolio capital receipts rose, their importance declined once more although it does not appear that there was any direct causal relation between the two movements.

The main components of the short-term capital account are bank balances, commercial paper and finance company funds. The motives for changes in these items are various. But comparative credit conditions — interest rates and availability of credit — in Canada and the United States, plus of course the cost of forward exchange cover, are probably determinant. Thus a rise in interest rates in Canada with a tightening of credit conditions leads to borrowing abroad by Canadians, who also tend

TABLE 7. SHORT-TERM CAPITAL AND ERRORS AND OMISSIONS

$ million.

	1963				1964	
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.
Total	− 61	106	− 108	153	331	100
of which:						
Foreign-owned Canadian dollar holdings	− 20	18	6	10	23	2
Canadian-owned bank balances and other short-term funds abroad (excluding official reserves)	− 62	− 81	− 137	25	154	− 125
Canadian commercial paper	− 39	15	− 11	12	27	− 19
Canadian finance paper	9	− 1	12	32	67	83
Other Canadian finance company obligations	− 4	26	14	33	32	35
All other transactions (including errors and omissions in other items of the current and capital accounts)	55	129	8	41	28	124

Source: Dominion Bureau of Statistics.

to run down liquid assets held in the United States, whilst firms in Canada wholly or partly owned by American interests turn for credit to their U.S. connections. In present circumstances, as was noted by the Royal Commission on Banking and Finance, Canada's monetary policy has to be closely geared to balance of payments considerations.

III. ECONOMIC POLICY

By the first half of 1963 the expansion of activity had slowed down considerably, and the authorities were considering measures to revive it. Given the fact that the current external deficit remained large, and the likelihood that a significant proportion of additional expenditure resulting from any general tax cut would lead to an increase of imports rather than higher output and employment in Canada, the authorities felt that the most effective way of stimulating domestic expansion was to encourage capital spending. The measures taken to this end in the spring and summer of 1963 included:

a) Incentives in the form of generous capital cost allowances to manufacturing or processing companies, owned by Canadians or with a degree of Canadian ownership, purchasing new machinery and equipment in the two years following June, 1963.

b) Similar incentives, together with a three-year tax exemption, for manufacturing and processing companies establishing new facilities in designated areas of slow growth and high unemployment.

c) Incentives to the automobile industry aimed at securing for Canada a greater share of total production in North America.

d) The Municipal Development and Loan Fund designed to encourage municipalities to accelerate their capital spending programmes.

e) The Atlantic Development Fund of $ 100 million, intended to stimulate economic activity in that part of Canada.

f) Improvements in the terms, and a sharpening up, of the incentive programme for municipal winter works.

g) A $ 500 bonus for winter-built houses, assisted by an increase in direct mortgage loans by the Central Mortgage and Housing Corporation from $ 163 million in 1962 to $ 296 million in 1963.

An expanded employment and manpower development programme was also adopted aimed at reducing unemployment and ensuring a more effective long-run utilization of manpower resources. The programme included a series of measures to increase vocational training and technical education. Other measures taken in 1963 consisted of the establishment of a new Department of Industry and the Economic Council of Canada. The Economic Council will assess the medium- and long-term prospects of

TABLE 8. FEDERAL BUDGET

$ million.

	1962-63 OUTTURN	1963-64 PROVISIONAL	1964-65 ESTIMATE
Budgetary revenue	5,879	6,207	6,700
Budgetary expenditure	6,570	6,892	7,155
Deficit	− 692	− 685	− 455
Net non-budgetary receipts	− 772	166	n.a.
Overall cash requirements (−)	− 1,464	− 519	n.a.

Source: Statistical Summary, May 1964, Bank of Canada.
NOTE: The fiscal year runs from 1st April to 31st March.

the economy and recommend to the government policies which will best realise the growth potentialities of the economy.

To improve the position of the Federal budget, which had been in large deficit for several years, the exemption of building materials and machinery and equipment (other than that employed in fishing and agriculture) from the 11 per cent sales taxes is being gradually removed. The initial rate of 4 per cent imposed in June, 1963, was increased to 8 per cent on 1st April, 1964. The rate will be increased to 11 per cent at the beginning of 1965. In the fiscal year 1963, the budget deficit remained relatively large, nearly $ 700 million. But total cash requirements, including non-budgetary receipts and expenditure, fell sharply, mainly because the large advances made to the exchange fund account in the previous year (almost $ 1 billion) were replaced by small net receipts from that source.

The 1964-65 budget continued the policy approach adopted a year earlier. With the economy expanding strongly, unemployment being low in some areas but high in others, and the current balance of payments deficit remaining relatively large, general measures to stimulate demand were not thought to be appropriate. But the period during which enterprises were required to commence commercial operations in order to qualify for the special tax incentives introduced in 1963 (and referred to on page 22) has been extended. The housebuilding incentive programme is being repeated next winter. And further measures have been taken to increase federal assistance to vocational training and education. The budget shows only a moderate increase in expenditure, less than 4 per cent. With continued expansion and rising incomes, tax receipts are expected to rise by 8 per cent, entailing a decline in the budget deficit to $ 455 million. The Minister of Finance subsequently indicated that the actual deficit would be smaller.

On a national accounts basis[1] the budget deficit has been much smaller;

1. Some of the main differences between the traditional budget and the budget expressed on a national accounts basis are that the national accounts include income and expenditure of old age security, unemployment insurance and other funds, the post office, and are on an accrual rather than a cash basis.

it amounted to $ 221 million in 1963-64 as a whole and was replaced by a surplus in the course of that fiscal year. On the same basis, the 1964-65 budget was expected to show a deficit of only $ 75 million. But as revenues have responded to the increase in economic activity, the budget deficit (on a national accounts basis) has been replaced by a surplus amounting to $ 320 million, at a seasonally adjusted annual rate, in the first three months of the 1964-65 fiscal year, and has thus served to dampen the rise in demand.

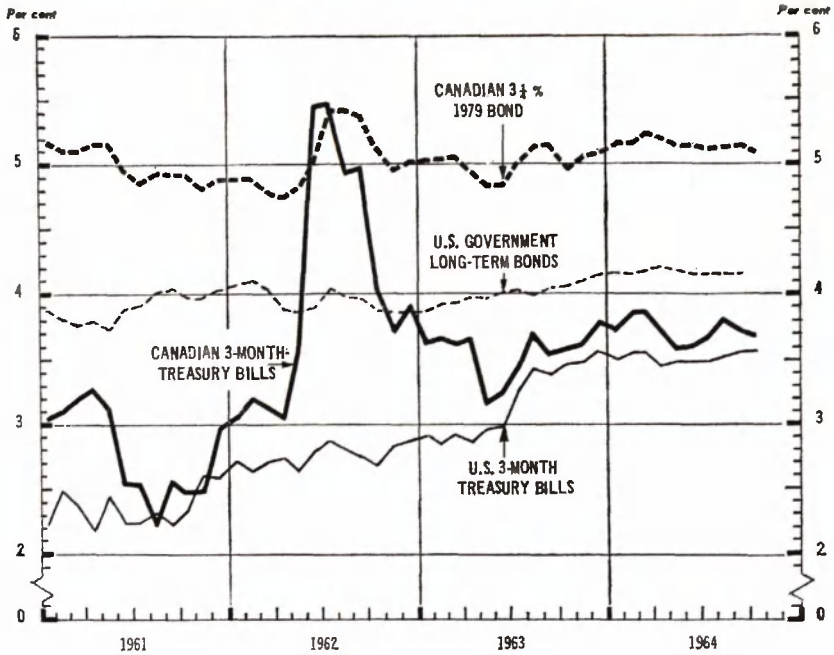
Budget and fiscal policy is at present in a period of transition in Canada, the trend being towards a greater relative share of provincial governments in tax revenues and expenditures. Already the combined expenditure of provincial and municipal governments on goods and services exceeds that of the Federal government. And one-half of the latter is for defence. Thus changes in expenditure, for contra-cyclical purposes for example, are unlikely to be very effective unless they can be concerted between the Federal and provincial governments. A similar situation will probably soon arise as regards tax revenues. According to the present policy the provinces have the possibility of enlarging their individual income tax base in exchange for taking over from the Federal government responsibility for existing shared-cost programmes. So far, the government of Quebec has indicated its willingness to accept this arrangement and other provincial governments may do so as well. Thus, in the near future, tax revenues levied directly by the provinces could reach 44 per cent of total direct taxes on households and one-fifth of total corporate taxation.

Monetary policy in Canada has to take considerable account of balance of payments requirements and of the understanding reached with the U.S. authorities as regards Canadian borrowings and gold and foreign exchange reserves. As the recent report of the Royal Commission on Banking and Finance observes; " While there is scope for widening the range of variation of general credit conditions beyond the boundaries of the recent past without unduly disrupting either financial markets or domestic business activity, international considerations are likely to rule out this alternative if similar changes are not taking place in other countries, particularly the United States[1]. "

Over the past year no serious conflict between internal and external requirements has arisen. As in the United States, monetary conditions have remained relatively easy. Interest rates rose sharply in Canada in July, 1963, following the proposal of the Interest Equalization Tax in the United States because of the uncertainty it created for Canadian long-term borrowing in New York. They continued to rise in August and Bank rate was raised from 3.5 to 4 per cent. But the announcement in September of large wheat sales to the Soviet Union improved confidence in Canada's foreign exchange position, relieved the pressure on the securities market,

1. Report of the Royal Commission on Banking and Finance, Ottawa, 1964.

Diagram 6. YIELDS ON BONDS AND TREASURY BILLS IN CANADA AND THE UNITED STATES



Source: Bank of Canada, Federal Reserve System.

and interest rates fell. Over the next year interest rates remained fairly stable. The yield on 91-day Treasury bills stayed within a range of 3.5 to 3.9 per cent, and average yields on long-term government securities changed little. The spread between Treasury bill rates in Canada and the United States on a covered basis has not been wide enough to cause much movement of short-term funds into Canadian Treasury bills and recently the covered incentive has disappeared. During the year there appear to have been significant purchases of Canadian finance and commercial paper by foreigners. The spread between long-term government bond rates in the two countries remained at about one per cent until the fourth quarter when it tapered off slightly. From mid-October to mid-November 1964 long-term interest rates in Canada declined and the spread between government bond rates in Canada and the United States moved down to less than one per cent. On November 23rd, following the increases in bank rates in the United Kingdom and the United States, the Canadian bank rate was raised from 4 per cent to 4½ per cent. While short-and long-term interest rates in both Canada and the United States increased in the following week, there was virtually no change in the spreads between market rates in the two countries from those prevailing immediately prior to the bank rate changes.

Bank loans have been expanding at an annual rate of 12 to 13 per cent since the middle of 1963. The extension of credit to the private sector has exceeded the rise in deposits, with the result that the banks have reduced their holdings of government securities and other liquid assets. But this decline in liquidity does not appear to have led to any significant change in lending policies.

The authorities have not taken measures to influence very directly the movement of wages and prices. The stability in costs and prices over the past year has, no doubt, been facilitated by high unemployment and excess capacity. As fuller utilization of resources is achieved, pressure on prices is likely to increase. The maintenance of price stability has a high priority, but the authorities intend to continue to rely on the competitive forces in the economy. The very active labour market policies introduced in recent years should help to avoid labour shortages and undue pressure on wages.

IV. CONCLUSIONS

The expansion of activity should continue well into 1965, but the pace of advance may slow down somewhat unless fresh measures to stimulate demand are taken. With continued expansion in the United States, exports should continue to grow, but less fast than over the last year when exceptionally large wheat sales were an important factor. The rise in business investment demand may also slow down, following the strong increase over the last year. And the marked change in the Federal budgetary position would seem likely to exert a dampening impact on the expansion over the rest of the present fiscal year. The labour force is rising rapidly, and it is not clear whether the expansion will be strong enough to achieve a further decline in unemployment.

Since monetary policy has to be closely geared to the needs of the balance of payments, fiscal measures would seem to be most appropriate if action to stimulate demand should become necessary. Given the importance of the provincial authorities in this field, the flexible use of fiscal policy for contra-cyclical purposes is probably more difficult for Canada than for many other countries. But it is important, as federal-provincial relationships evolve, that the need for a flexible fiscal policy for demand management purposes should be kept in view.

The declining trend in the deficit on the current account of the balance of payments since 1959 has been reversed in 1964, and no substantial further reduction seems likely in the very near future. This, however, remains one of the aims of the Canadian authorities. A key element in achieving it lies in the maintenance of price stability. Experience from certain other countries suggests that, in full employment conditions, with stronger pressure on costs and prices, some form of an incomes policy represents a useful supplement to existing policy instruments, and some other countries are seeking to make progress in this direction.

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STATISTICAL ANNEX

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Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

Annual figures and annual rates, seasonally adjusted

Millions of Canadian dollars.

	Personal consumption expenditure	Business gross fixed capital formation: Total	Residential construction	Non-residential construction	Machinery and equipment	Value of physical change in inventories	Government expenditure on goods and services	Exports of goods and services	Imports of goods and services	Residual error	Gross national product at market prices
	Current prices										
1960	23,540	6,692	1,443	2,577	2,672	410	6,769	7,008	8,172	40	36,287
1961	24,451	6,635	1,458	2,683	2,494	− 132	7,259	7,631	8,542	89	37,391
1962	25,739	6,960	1,577	2,638	2,745	522	7,709	8,224	9,033	218	40,339
1963	27,230	7,495	1,705	2,811	2,979	459	8,076	9,054	9,542	235	43,007
1963 1st quarter	26,660	7,128	1,584	2,668	2,876	464	7,996	8,552	9,064	364	42,100
2nd —	26,896	7,436	1,676	2,864	2,896	340	8,108	8,980	9,256	16	42,520
3rd —	27,396	7,500	1,680	2,812	3,008	580	8,152	9,032	9,804	220	43,076
4th —	27,968	7,916	1,880	2,900	3,136	452	8,048	9,652	10,044	340	44,332
1964 1st quarter	28,620	8,928	2,340	3,024	3,564	228	8,456	9,980	10,872	172	45,512
2nd —	28,740	8,376	1,752	3,080	3,544	400	8,536	10,596	10,836	256	46,068
3rd —	29,328	8,220	1,748	3,096	3,376	400	8,488	10,708	10,716	308	46,736
	Constant (1957) prices										
1960	22,402	6,231	1,323	2,404	2,504	397	6,268	6,884	8,020	38	34,200
1961	23,095	6,124	1,328	2,493	2,303	− 133	6,581	7,402	8,135	83	35,017
1962	23,993	6,265	1,396	2,400	2,469	495	6,715	7,737	8,249	202	37,158
1963	25,016	6,571	1,459	2,485	2,627	431	6,702	8,414	8,474	213	38,873
1963 1st quarter	24,636	6,316	1,380	2,380	2,556	420	6,736	7,940	8,136	332	38,244
2nd —	24,792	6,564	1,448	2,540	2,576	312	6,784	8,384	8,284	16	38,568
3rd —	25,084	6,564	1,444	2,484	2,636	576	6,728	8,388	8,640	200	38,900
4th —	25,552	6,840	1,564	2,536	2,740	416	6,560	8,944	8,836	304	39,780
1964 1st quarter	26,044	7,652	1,936	2,640	3,076	244	6,868	9,224	9,464	152	40,720
2nd —	26,036	7,080	1,424	2,660	2,996	352	6,840	9,756	9,372	228	40,920
3rd —	26,508	6,924	1,404	2,660	2,860	388	6,716	9,752	9,276	272	41,284

Source: National Accounts Income and Expenditure, Dominion Bureau of Statistics.

TABLE II. INDUSTRIAL PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

Seasonally adjusted.

	1961	1962	1963	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.
1. INDICES OF INDUSTRIAL PRODUCTION *(1953 = 100)*:										
All industries	134	144	152	148	150	151	158	164	164	165
Mining	188	202	207	204	206	204	216	229	228	220
Manufacturing — durables	111	124	132	129	130	130	138	144	144	146
Manufacturing — non-durables	131	137	143	140	143	144	147	151	152	153
2. NEW RESIDENTIAL CONSTRUCTION *(thousands, annual rates)*:										
— Starts	126	130	149	134	134	142	178	181	134	152
— Completions	116	127	128	122	139	129	124	216	148	129
3. EMPLOYMENT AND UNEMPLOYMENT:										
Civilian labour force *(thousands, monthly averages)*	6,518	6,608	6,737	6,645	6,693	6,778	6,817	6,884	6,910	6,948
Non-agricultural employment *(thousands, monthly averages)*	5,375	5,564	5,723	5,622	5,673	5,771	5,806	5,893	5,932	5,996
Employment indices *(1953 = 100)*:										
— Mining	105	105	103	104	103	103	104	103	104	104
— Manufacturing										
— durables	90	95	98	97	98	98	101	103	103	105
— non-durables	103	106	108	107	108	108	109	111	111	112
— Construction	103	105	105	106	104	104	106	111	107	108
Unemployment (including workers on temporary lay-off, *thousands*)	469	391	373	385	383	375	346	326	336	330
Unemployment (percentage of civilian labour force)	7.2	6.0	5.5	5.8	5.7	5.5	5.1	4.7	4.9	4.8
Average hours worked in manufacturing, number per week	40.6	40.7	40.8	40.8	40.8	40.6	41.0	41.0	41.0	
4. RETAIL SALES INDEX *(1953 = 100)*	138	147	155	151	152	155	159	164	162	165
5. ORDERS AND INVENTORIES IN MANUFACTURING *(million dollars)*:										
— New orders *(monthly average)*	2,053	2,261	2,430	2,361	2,376	2,445	2,549	2,645	2,580	2,583
— Unfilled orders *(end of period)*	2,031	2,111	2,333	2,238	2,236	2,376	2,438	2,468	2,567	2,660
— Total inventories *(end of period)*	4,581	4,799	4,932	4,803	4,838	4,866	4,910	4,883	5,006	5,130

Source: Canadian Statistical Review (DBS), Bank of Canada Statistical Summary, OECD General Statistics.

TABLE III. PRICES, WAGES AND FINANCE

	1961	1962	1963	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.
1. PRICES *(1953 = 100)*:										
Consumer prices, all items	112	113	115	114	115	116	116	116	117	118
of which: food	110	112	116	115	114	118	116	117	117	119
Wholesale prices, general	106	109	111	110	111	111	111	112	111	111
of which: raw materials and semi-manufactures	103	108	110	109	110	110	110	110	109	108
— manufactured products	107	109	111	110	111	111	112	112	112	112
— farm products	104	109	104	107	106	104	97	97	100	99
2. WAGES AND PROFITS:										
Hourly earnings in manufacturing *(Canadian cents)*	183	188	195	193	195	193	199	200	202	
Corporation profits before tax *(million dollars, quarterly rates or figures seasonally adjusted)*	850	910	980	967	973	957	1,023	1,113	1,084	1,061
3. BANKING *(Million dollars, end of period)*:										
Chartered Banks:										
— Canadian dollar deposits	14,186	14,699	16,099	14,112	14,750	15,107	16,099	15,922	16,148	16,077
of which: personal savings deposits	7,618	7,932	8,443	8,234	8,364	8,605	8,443	8,760	8,811	9,046
— Liquid assets (daily average)[1]	2,345	2,362	2,586	2,555	2,645	2,527	2,749	2,613	2,708	2,655
— Average liquid asset ratio (%)[1]	18.31	17.10	17.96	18.30	18.50	17.24	18.28	17.23	17.47	16.74
— Holdings of Government of Canada direct and guaranteed bonds	2,639	2,241	2,660	2,327	2,475	2,535	2,660	2,700	2,575	2,482
— Loans	6,878	7,702	8,332	7,584	7,795	7,912	8,332	8,459	8,932	8,992
Currency outside banks	1,959	1,994	2,084	2,020	2,093	2,051	2,084	2,046	2,126	2,137
4. INTEREST RATES:										
3-month Treasury Bill yield (end-period)	2.99	3.91	3.78	3.62	3.24	3.56	3.78	3.88	3.59	3.73
Government of Canada 3 3/4 per cent 1975-78 bond yield	4.96	5.07	5.16	5.07	4.91	5.08	5.16	5.25	5.20	5.21
5. MISCELLANEOUS:										
National Housing Act Mortgage Loans *(million dollars)*	724	584	687	110	184	140	253	74	188	179
Industrial share prices *(1953 = 100)*	221	213	228	221	233	226	232	244	264	276
Security issues *(million dollars)*	2,694	2,663	2,800	364	970	109	1,356	401	906	68
of which: Govt., provincial and municipal	2,146	1,732	2,114	175	763	2	1,174	185	363	30
Corporate bonds	322	406	538	37	426	6	69	81	213	39
Corporate stock	249	340	− 56	52	− 265	112	45	− 55	162	67

1. Quarterly figures are daily averages of last month in each quarter.

Source: Canadian Statistical Review (DBS), Bank of Canada Statistical Summary, OECD General Statistics.

TABLE IV. GOVERNMENT REVENUE AND EXPENDITURE, 1960-1964

Millions of dollars.

	FEDERAL GOVERNMENT					PROVINCIAL AND MUNICIPAL GOVERNMENT				
	1960	1961	1962	1963	1964[1]	1960	1961	1962	1963	1964[1]
Tax revenue	5,542	5,738	5,884	6,124	6,846	3,146	3,456	4,224	4,602	5,056
Contributions to social insurance and government pension funds	487	510	518	533	562	264	277	293	305	314
Investment income	382	409	450	497	576	681	725	790	836	922
Transfers from Federal Government	—	—	—	—	—	994	1,128	1,134	1,165	1,234
Total Revenue	6,411	6,657	6,852	7,154	7,984	5,085	5,586	6,441	6,908	7,526
Expenditure on goods and services	2,730	2,982	3,024	2,927	3,060	4,039	4,277	4,685	5,149	5,436
Transfer payments to persons and subsidies	2,185	2,227	2,372	2,405	2,476	1,170	1,452	1,590	1,737	1,966
Transfers to other levels of government	994	1,128	1,134	1,165	1,234	—	—	—	—	—
Interest on public debt	753	786	865	935	990	342	388	444	479	518
Total Expenditure	6,662	7,123	7,395	7,432	7,760	5,551	6,117	6,719	7,365	7,920
Deficit	− 251	− 466	− 543	− 278	224	− 466	− 531	− 278	− 457	− 394

1. First six months, seasonally adjusted annual rates.

Source: National Accounts, Income and Expenditure, DBS.

TABLE V. FOREIGN TRADE AND PAYMENTS

	1961	1962	1963	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.
IMPORTS *(millions of dollars)*:										
Fuels and lubricants	473	487	538	112	127	152	147	N.A.	N.A.	N.A.
Industrial Materials	1,552	1,727	1,790	377	463	467	483	N.A.	N.A.	N.A.
Investment goods	1,824	1,981	1,994	463	533	491	508	N.A.	N.A.	N.A.
Consumer goods	1,866	2,004	2,172	448	555	527	641	N.A.	N.A.	N.A.
Total[1]	5,771	6,258	6,559	1,414	1,697	1,653	1,795	N.A.	N.A.	N.A.
of which: from United States	3,864	4,300	4,445	1,031	1,158	1,078	1,178	N.A.	N.A.	N.A.
EXPORTS *(millions of dollars)*:										
Farm and fish products	1,301	1,264	1,464	290	334	317	523	398	498	518
Forest products	1,623	1,701	1,824	391	449	499	486	434	523	527
Metals and minerals	1,861	2,063	2,169	453	574	595	548	511	634	696
Other	1,110	1,319	1,523	352	391	356	423	441	497	483
Total[2]	5,896	6,348	6,980	1,486	1,747	1,767	1,980	1,784	2,151	2,225
of which: to United States	3,217	3,745	3,913	878	1,006	1,010	1,019	964	1,129	1,163
Visible trade balance (on payments basis)	173	177	503	74	74	151	204	33	149	359
Volume of imports *(1953 = 100)*	124	129	131	115	136	130	142	129	158	
Volume of exports *(1953 = 100)*	134	140	153	129	152	154	174	155	186	191
Average value of imports *(1953 = 100)*	109	114	118	116	118	120	119	121	122	
Average value of exports *(1953 = 100)*	105	108	109	109	109	109	109	110	110	110
BALANCE OF PAYMENTS *(millions of dollars)*:										
Current balance	− 982	− 874	− 557	− 248	− 204	16	− 121	− 343	− 156	+ 219
of which: with United States	−1,386	−1,122	−1,183	− 353	− 346	− 66	− 418	− 549	− 512	− 120
Direct investment in Canada	+ 520	+ 495	+ 240	+ 67	+ 50	+ 60	+ 63	+ 60	+ 60	+ 35
Portfolio investment	+ 304	+ 291	+ 526	+ 327	+ 228	+ 23	− 52	− 2	+ 152	+ 79
Other capital movements	+ 448	+ 243	− 63	− 80	+ 37	− 158	+ 138	+ 243	+ 11	− 176
Official holdings of gold and U.S. dollars *(Millions of U.S. dollars, end of period)*	2,056	2,539	2,595	2,600	2,692	2,568	2,595	2,466	2,534	2,625
U.S. dollar exchange rate, Canadian cents per dollar (average noon rate)	101.32	106.89	107.85	107.76	107.74	108.08	107.83	108.02	108.09	107.87

1. Including special items.
2. Including re-exports.

Source: Bank of Canada Statistical Summary, OECD General Statistics.

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